

LESSON TEN

VWAP AND CVD

The institutional average and the aggression meter: premium and discount by deviation, divergence, fakeouts and absorption zones. The confluence layer of the series.

By Sires

Ether, the free side of Ethos

Contents

What VWAP actually is	FOUNDATIONS	03	>
Premium and discount by deviation	FRAMEWORK	04	>
CVD, the aggression meter	MECHANICS	05	>
The three step CVD plan	EXECUTION	06	>
Anchored VWAP	ADVANCED	07	>
The TradingView settings	EXECUTION	08	>

This guide pairs with the video. [Watch it](#) for the live walkthrough, keep this next to the charts.



What VWAP actually is

VWAP stands for volume weighted average price: the average the market has actually paid, weighted by volume. Institutions use it to identify premium and discount zones, which is exactly why you should watch it.



VWAP with its deviation bands. The median line is the volume weighted average, the bands are the extremes around it.

In AMT logic the VWAP median is **the POC of the session so far**: where the business has averaged out.

THE BANDS

The lines above and below are standard deviation bands. Run plus and minus 2 and 2.5, you can add 3 but price rarely touches it. They are the extremes of premium and discount, the same idea as the edges of value.



Premium and discount by deviation

The deviations turn VWAP into a premium and discount model.

PLUS AND MINUS 1

The working premium and discount zone. Ordinary business happens inside here.

PLUS AND MINUS 2

The tops of the extremes. This is where the odds genuinely stack, an institution trying to get filled is getting its best price out here.

THE HIGHER THE PREMIUM

The higher the chance of reversal soon, because that is the ideal spot for institutions to get in. Same in reverse for discount.

THE TWO RULES

One: the trades worth taking live beyond the 1 band and ideally at the 2, deal with at least the 1. Two: only trade VWAP extremes WITH absorption, never on the touch alone.

THE FALLING KNIFE WARNING

If there is no confirmation, or the draw beyond the band is clearly still higher or lower, do not trade against it. Deviation is probability, not a wall.



CVD, the aggression meter

CVD is cumulative volume delta: the running net difference between aggressive buyers and sellers, market buys against market sells, accumulated over time.

CVD RISING

More aggressive buying is entering the market. The buyers are the ones paying up.

CVD FALLING

More aggressive selling. The sellers are crossing the spread to get out or get short.

Price tells you what happened. **CVD tells you who paid for it.**



The three step CVD plan

The three step plan for putting CVD to work.



Step 1, hunt the divergence

Price rising while CVD falls means sellers are active despite the move. The move is being carried by passive orders, a potential reversal signal.



Step 2, grade every breakout

Real breakouts print rising CVD. Price breaking out on flat or falling CVD is likely a fakeout, low conviction dressed up as momentum.



Step 3, spot the absorption zones

Price stalling while CVD keeps climbing or falling means large players are quietly taking the opposite side. That standoff usually resolves violently.

WHERE THIS FITS

VWAP gives the location, the deviation extreme. CVD plus the ladder gives the confirmation. Location plus confirmation is the whole method in one sentence.



Anchored VWAP

The session VWAP resets every day. The advanced move is to anchor it manually to the exact event the big players are averaging from.

An **anchored VWAP** starts from a moment that mattered, not from midnight.

ANCHOR TO THE SWING

Drop the VWAP from a major swing high or low. It becomes the average price of everyone who has traded since that turn, and it acts as dynamic support or resistance from that point on.

ANCHOR TO THE EVENT

CPI, FOMC, the earnings gap, the session open. Anchoring from the catalyst shows you the true average of the move the news created, which is the level institutions defend.

MULTIPLE TIMEFRAMES

A weekly and a monthly anchored VWAP give you swing levels. When session, weekly and an anchored VWAP all converge, that is a heavyweight level worth building a trade around.

WHY IT BEATS THE PLAIN VWAP

The session VWAP answers where is the average today. The anchored VWAP answers where is the average since the thing that actually moved the market. Institutions think in the second one, so you should have it on the chart.

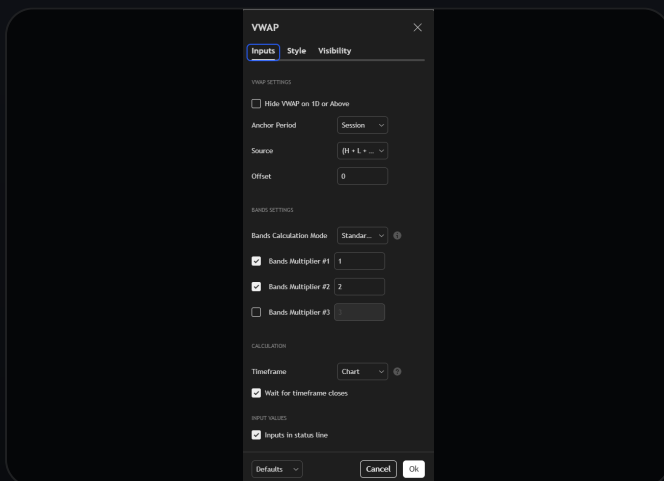


The TradingView settings

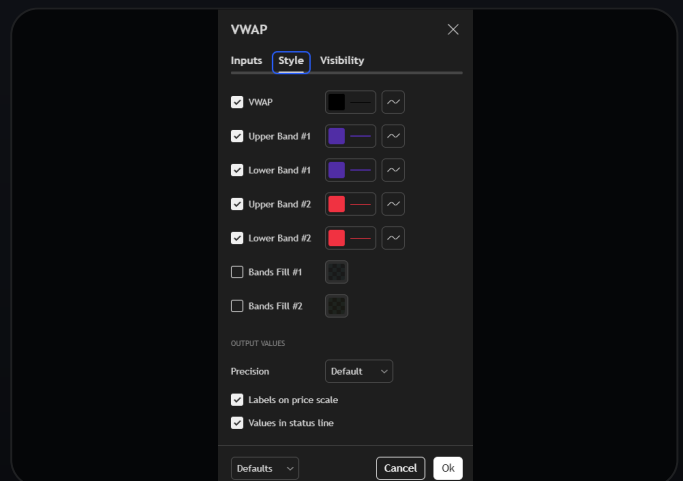
The exact TradingView settings from the video, so your chart matches the lesson.



VWAP with the deviation bands applied on the chart.



The inputs tab: anchor to session, bands calculation on standard, multipliers on.



The style tab: bands set to plus and minus 1, 2 and 2.5.





Now trade with the average.

You now know where institutions consider price cheap or expensive, and how to check who is paying. Inside Ethos, the mentorship, the KG models stack these tools live, three sessions a week.



Deal with at least the 1 band

The edge lives at the extremes, not in the middle.



Only with absorption

A deviation touch alone is not a trade, the tape has to confirm.



CVD grades every move

Divergence warns, flat CVD exposes fakeouts, stalls mark absorption.

START THE FREE 7 DAY TRIAL →

[WATCH LESSON 10 >](#)

[JOIN ETHER ON DISCORD >](#)